

EDITION ISRAEL · 2026 REPORT

What it really costs to buy in Portugal

Taxes, mortgages and worked examples for buyers who live abroad, with the official source for every number.

Imóveis Portugal

Facts checked on October 24 and 25, 2026

IN THIS REPORT

01 Purchase taxes 4

02 Non-residents and stamp duty 5

03 Worked examples 6

04 Mortgages 8

If you live in Israel 9

05 The steps and the yearly taxes 10

06 Checklist and glossary 11

07 Sources 12

AT A GLANCE

7.5%	transfer tax (IMT) for buyers who aren't Portuguese tax residents, since May 2026, with some exceptions.
0.8%	stamp duty on the price, for every buyer.
80%	of the value is the most a bank can lend for a home that isn't your main residence.

HOW TO READ THIS REPORT

Every number has an official source, listed at the end with the date we checked it. We describe the rules; we don't give advice. Partner pages are labeled as sponsored content.

SPONSORED CONTENT

Partners of this report

Sponsored by Habinedita Gondomar

Habinedita Gondomar

Habinedita Gondomar works with buyers who live outside Portugal, with experience serving clients from Luxembourg, France, Switzerland, Brazil, the United States and Israel. The agency handles the search, viewings and negotiation, and works with lawyers and banks for buyers purchasing from abroad.

AMI 13250 · habineditagondomar.pt · +351 221 458 069

Partner spaces

One partner per category: lawyer, bank, tax advisor, money transfer and developer. Always labeled as sponsors.

Views and recommendations are the partner's own.

01 PURCHASE TAXES

Purchase taxes

The property transfer tax (IMT) is due on the day it's assessed or within the following 30 days. For residents, the 2026 rates depend on how the home is used. The value is split in two: up to the previous bracket limit at that bracket's average rate, and the rest at the marginal rate.

Main home (owner-occupied)

Value up to	Marginal rate	Average rate at the limit
106,346 €	0%	0%
145,470 €	2%	0.5379%
198,347 €	5%	1.7274%
330,539 €	7%	3.8361%
Up to 660,982 €	8%	–

Other home, such as a vacation home

Value up to	Marginal rate	Average rate at the limit
106,346 €	1%	1%
145,470 €	2%	1.2689%
198,347 €	5%	2.2636%
330,539 €	7%	4.1578%
Up to 633,931 €	8%	–

Above these values: 6% (flat) up to 1,150,853 € and 7.5% above.

02 NON-RESIDENTS AND STAMP DUTY

7.5%

Since May 2026 (Decree-Law 97/2026), buyers who aren't Portuguese tax residents pay IMT at a flat 7.5% on homes, with no exemption or reduction. The rate doesn't apply when the buyer:

a. has been considered a Portuguese tax resident;

b. becomes a Portuguese tax resident within two years of the purchase;

c. rents the home out as a residence within six months, at a rent within the decree's caps, for at least 36 months in the first five years.

In the last two cases you pay 7.5% first and claim back the difference within six months. How the first exception applies to people who once lived in Portugal is a question for a lawyer or tax advisor.

Stamp duty

0.8%	of the value, at purchase
0.6%	of the amount borrowed, with a loan of five years or more
4%	on the interest charged by the bank

This content is for information only and is not legal, tax or financial advice. Rules change and every situation is different: check with a qualified professional before you decide. We can put you in touch with our partners.

03 WORKED EXAMPLES

Worked examples

Purchase taxes, rounded to the euro, using the 2026 tables. Excludes the deed, registration, legal fees, currency exchange and mortgage costs.

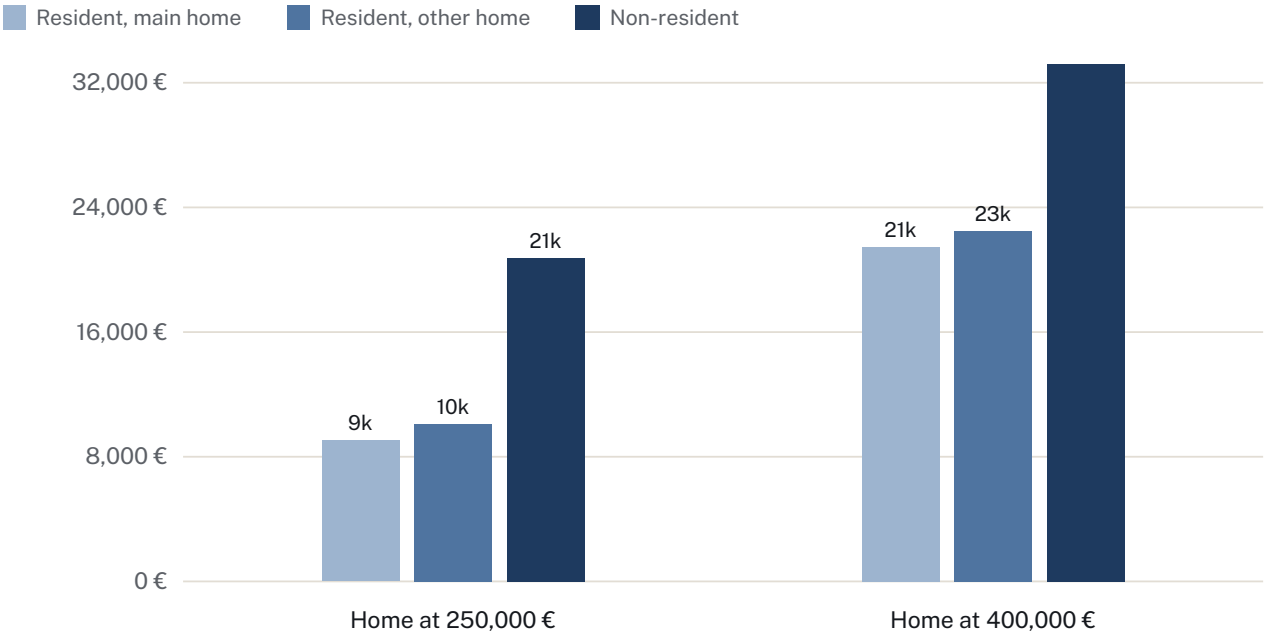
Home at 250,000 €

	Resident, main home	Resident, other home	Non-resident
IMT	7,042 €	8,105 €	18,750 €
Stamp duty (0.8%)	2,000 €	2,000 €	2,000 €
Total	**9,042 €**	**10,105 €**	**20,750 €**

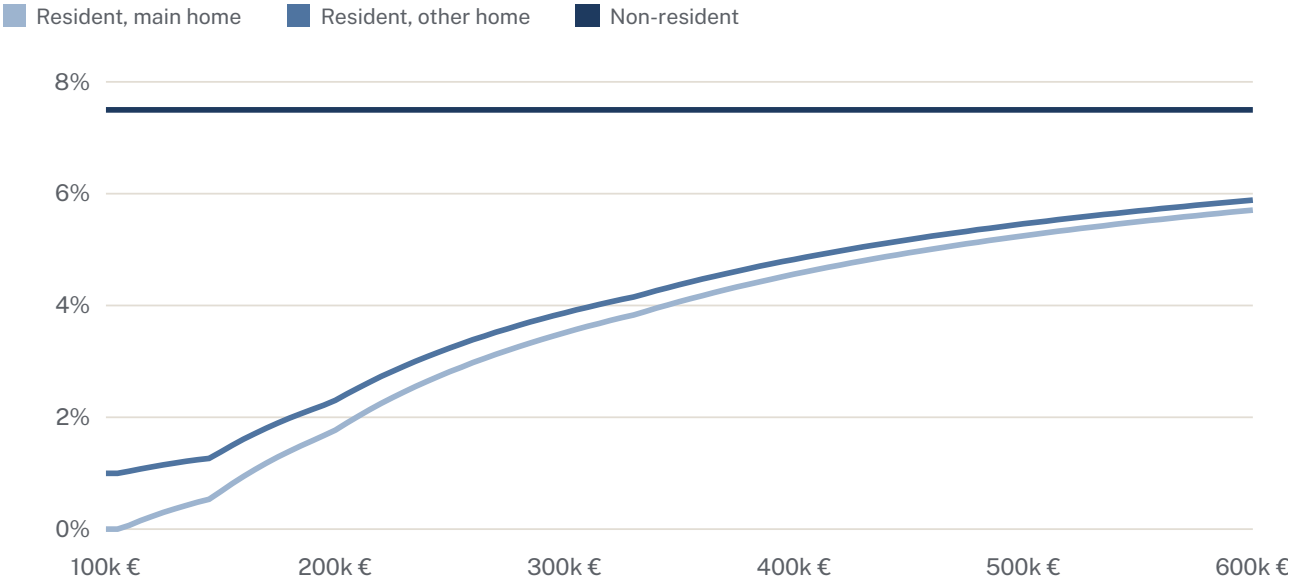
Home at 400,000 €

	Resident, main home	Resident, other home	Non-resident
IMT	18,237 €	19,300 €	30,000 €
Stamp duty (0.8%)	3,200 €	3,200 €	3,200 €
Total	**21,437 €**	**22,500 €**	**33,200 €**

Purchase taxes by buyer profile



Effective transfer tax rate by price



IMT divided by the price, using the 2026 tables.

04 MORTGAGES

Mortgages

90%	of the value at most for your main home; 80% for other uses. The lower of the price and the appraisal counts.
45%	of net income is the cap on the payments of all your loans together (each bank may exceed it for up to 10% of the credit it grants per year).
40 years	maximum term if you're 35 or younger; 35 years from that age.

Banco de Portugal rules applying since August 1, 2026.

How much cash you need

Example: a non-resident buys a 300,000 € vacation home with the maximum 80% loan.

Down payment (20%)	60,000 €
IMT (7.5%)	22,500 €
Stamp duty on the purchase (0.8%)	2,400 €
Stamp duty on the loan (0.6% of 240,000 €)	1,440 €
Total paid from your own funds	**86,340 €**

Excludes the deed, registration, legal fees, appraisal, currency exchange and the 4% stamp duty on interest, which is paid over the life of the loan.

This content is for information only and is not legal, tax or financial advice. Rules change and every situation is different: check with a qualified professional before you decide. We can put you in touch with our partners.

EDITION ISRAEL

If you live in Israel

- Tax representative: Israel is outside the EU and the EEA. After the purchase you have 15 days to appoint a tax representative in Portugal or sign up for the tax authority's electronic notifications.
- IMT: if you are not a Portuguese tax resident, you pay the flat 7.5%. If you become a Portuguese tax resident within two years of the purchase, you pay 7.5% first and claim back the difference within six months.
- Rent in Portugal: residential rent earned by non-residents is taxed at 25% in Portugal, with reductions for long leases.
- Rent in Israel: under the Portugal–Israel tax treaty, Portugal may tax income from property in Portugal, and Israel, as your country of residence, allows a credit for the tax paid in Portugal.

Not covered here: how Israel calculates its own tax follows Israeli rules. Talk to a tax adviser.

This content is for information only and is not legal, tax or financial advice. Rules change and every situation is different: check with a qualified professional before you decide. We can put you in touch with our partners.

05 THE STEPS AND THE YEARLY TAXES

The steps and the yearly taxes

1. NIF: the Portuguese tax number can be requested online through a legal representative, or in person. No tax representative is needed to get it.
2. Power of attorney: sign it at a Portuguese consulate or before a notary where you live; in that case it needs a Hague Apostille.
3. Promissory contract (CPCV): it sets the price, date and deposit. If the buyer backs out through their own fault, they lose the deposit; if the seller does, the buyer can claim double (Civil Code, art. 442).
4. Origin of funds: banks, notaries and lawyers must ask where the money comes from when the transaction calls for it (Law 83/2017).
5. IMT and stamp duty: paid before closing, within the assessment deadline.
6. After the purchase: if you live outside the EU, you have 15 days to appoint a tax representative or sign up for the tax authority's electronic notices.

Every year

IMI	0.3% to 0.45% of the property's tax value, at the rate set by the municipality.
AIMI	only on total tax values above 600,000 € per person.
Rent	residential rent earned by non-residents is taxed at 25% in Portugal, with reductions for long leases.
Sale	for Portuguese income tax, 50% of the gain counts.

Checklist and glossary

- [ ] I have a NIF
- [ ] I know whether I'll become a tax resident within two years
- [ ] I have quotes for the deed, registration and fees
- [ ] I asked the bank for a simulation with the appraisal
- [ ] I have proof of where the money comes from
- [ ] I had the promissory contract reviewed
- [ ] I have a power of attorney with an Apostille, or a consulate appointment
- [ ] I appointed a tax representative or signed up for electronic notices (15 days)

Glossary

IMT	Transfer tax paid when buying property.
IMI	Yearly municipal property tax.
AIMI	Additional IMI on high property values.
NIF	Portuguese tax number.
CPCV	Promissory purchase contract.
Sinal	Deposit paid on the promissory contract.
Escritura	The deed that transfers ownership (closing).
VPT	The property's tax value, the basis for IMI.

07 SOURCES

Sources

Official sources, with the date we checked each one.

- Código do IMT, art. 17.º, n.º 1, al. a) (brackets per Lei 73-A/2025) (2026-10-24): https://info.portaldasfinancas.gov.pt/pt/informacao_fiscal/codigos_tributarios/cimt/Pages/cimt17.aspx
- Decreto-Lei 97/2026 (new wording of CIMT art. 36.º, n.º 1) (2026-10-24): https://files.diariodarepublica.pt/1s/2026/05/09700/0001400040.pdf
- Tabela Geral do Imposto do Selo, verba 1.1 (2026-10-24): https://info.portaldasfinancas.gov.pt/pt/informacao_fiscal/codigos_tributarios/selo/Pages/ccod-selo-tabgiselo.aspx
- Banco de Portugal, notification to the ESRB on borrower-based measures (2 July 2026) (2026-10-24): https://www.esrb.europa.eu/pub/pdf/other/Esrb.notification260702_Othermacroprudentialmeasures_PT~155a9efa59.en.pdf
- Autoridade Tributária, folheto: NIF para cidadãos estrangeiros não residentes (2026-10-24): https://info.portaldasfinancas.gov.pt/pt/apoio_contribuinte/Folhetos_informativos/Documents/Atribuicao_de_NIF_a_cidadaos_estrangeiros_nao_residentes.pdf
- Lei Geral Tributária, art. 19.º, n.os 6, 8 e 15 (2026-10-24): https://info.portaldasfinancas.gov.pt/pt/informacao_fiscal/codigos_tributarios/lgt/Pages/lgt19.aspx
- Consulado-Geral de Portugal em Newark, Procuração (2026-10-24): https://newark.consuladoportugal.mne.gov.pt/pt/assuntos-consulares/servicos-consulares/procuracao
- Código Civil, art. 442.º (2026-10-24): https://diariodarepublica.pt/dr/legislacao-consolidada/decreto-lei/1966-34509075-59065106
- Lei 83/2017, arts. 3.º, 4.º f) e 27.º b) (2026-10-24): https://info.portaldasfinancas.gov.pt/pt/informacao_fiscal/legislacao/diplomas_legislativos/Documents/Lei_83_2017.pdf
- Código do IMI, art. 112.º, n.os 1 c) e 5 (2026-10-24): https://info.portaldasfinancas.gov.pt/pt/informacao_fiscal/codigos_tributarios/cimi/Pages/cimi112.aspx
- Código do IMI, art. 135.º-C, n.º 2 (2026-10-24): https://info.portaldasfinancas.gov.pt/pt/informacao_fiscal/codigos_tributarios/cimi/Pages/cimi135c.aspx
- Código do IRS, art. 72.º, n.os 2 e 3 (2026-10-24): https://info.portaldasfinancas.gov.pt/pt/informacao_fiscal/codigos_tributarios/cirs_rep/Pages/irs72.aspx
- gov.pt: Alojamento Local; Decreto-Lei 76/2024 (2026-10-24): https://www.gov.pt/guias/alojamento-local
- Código do IRS, art. 43.º, n.º 2, al. b) (wording of Lei 24-D/2022) (2026-10-25): https://info.portaldasfinancas.gov.pt/pt/informacao_fiscal/codigos_tributarios/cirs_rep/Pages/irs43.aspx
- Convenção Portugal–Israel (2006), arts. 6.º e 23.º, n.º 2; in force since 18 Feb 2008 (2026-10-24): https://files.dre.pt/1s/2008/01/01000/0049300523.pdf

---

This content is for information only and is not legal, tax or financial advice. Rules change and every situation is different: check with a qualified professional before you decide. We can put you in touch with our partners.

Imóveis Portugal

Need help with your own case?

We pass your request to a partner lawyer, bank, tax advisor or money transfer service. For buying or selling a home, our licensed partner agency.

imoveisportugal · Talk to a partner

Habinedita Gondomar · AMI 13250